| Users / Stakeholders | Why they need infor? |
|---|---|
| 1. Shareholders / owners / investors | • To know whether enough returns are generated or not.<br>• To know whether investment is secured or not. |
| 2. Management / Directors | • To manage the business<br>• To make bs decisions |
| 3. Employees | • To know about the salary increments<br>• To know about the job security |
| 4. Government | • To collect the taxes<br>• To know about the impact created on economy |
| 5. Customers | • To know about obtaining quality product/ servica for a reasonable price<br>• To obtain the product/service in the future. |
| 6. Suppliers | • To get supply more in the future.<br>• To collect money for the items already supplied. |
| 7. Banks and other financial institutions. | • To provide more loans in the future.<br>• To know the ability of repayment of loan and interest. |

Types of accounting

Financial Accounting

Preparation of info about past transaction of an entity in a manner that will enable mainly external users to make economic decisions.

Note - FA statements can be used by both external and internal

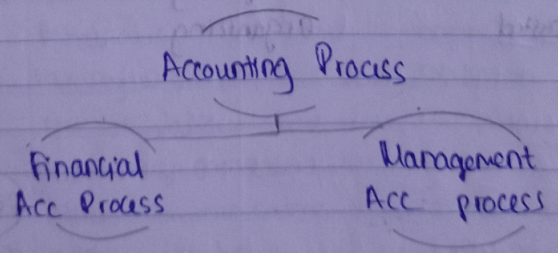
Management Accounting

Simply accounting for management. Management accounting is done to provide relevant information that will support all the levels of managers to make management decisions.

Note - Only used by internal users

| Differences. | FA | MA |
|---|---|---|
| 1. Objective | To provide bs info mainly to external users | To provide bs info only to the internal users |
| 2. Users | Mainly external, but internal also will use | Only internal |
| 3. Legal rq | FA is a legal requirement (FA needs to be prepared as per Standards rules & regulations) | MA not a legal requirement (There are no Standards, rules, regulations) |
| 4. Frequency of reporting | Generally prepared annually | Mngt statement reports are prepared when needed by mngt. |
| 5. Nature of info | FA Provides historical / past info | MA past and future forecasting |
| 6. Level of detail | FA provides summarized info (Totals) | MA provides both summarized and detailed info |
| 7. Type of info | FA provides only financial info (info having a monetary val) | MA provides financial & non-financial both. |

Accounting Process



# Financial Accounting Process

FA Input → FA Process → FA Output

**FA Input**
Past / Historical transactions & events

**FA Process**
1. Collect
2. Record
3. Classify
4. Summarize
5. Analysis/interpretation
6. Provide/Present

**FA Output**
1. Statement of Profit or Loss (Income statement)
2. Statement of financial Position (Balance sheet)
3. Statement of cashflows (Cash inflow, outflow)
4. Statement of changes in equity (reasons for changes in equity)
5. Notes

Transaction / Event → Source Document → Prime Entry Books → Ledgers → Closing Balances of ledgers → Trial balance → Financial Statements

# Management Acc. Process

**MA Input**
Past / Historical
+
Future forecasted infor

**MA Process**
Planning
Controlling
Budgeting
Organizing

**MA Output**
Any report of for the management
Ex:- . Cost report
- Profit analysis report
- Budgets
- Inv appraisal report

Estimated, Budgeted, evaluate -d, forecasted, analyzed

keywords MA outputs

factor and variable